COMPANY B, INC.

FORM 10-K
ANNUAL REPORT

For the fiscal year ended January 31, 2026

All amounts are in millions of United States dollars unless stated otherwise.
Registered office: 4400 Calder Park Drive, Dover, Delaware 19901

Fictional training and test fixture. The issuer and all identifying details are invented.

Selected financial data

The table below summarises the consolidated results for the last three fiscal years.

USD millions	FY2026	FY2025	FY2024	Change (%)
Total net revenue	41,525	37,895	34,857	9.6%
Gross profit	32,255	29,252	26,316	10.3%
Operating income	8,331	7,205	5,011	15.6%
Net income	7,457	6,197	4,136	20.3%
Diluted earnings per share (USD)	7.80	6.36	4.20	22.6%

Fiscal 2026 highlights

- Total net revenue was $41,525 million, up 9.6% from fiscal 2025.
- Gross margin was 77.7%.
- Operating margin was 20.1% and net margin was 18.0%.
- Cash generated by operating activities was $14,996 million.

Management discussion and analysis

Overview

Total net revenue increased 9.6% to $41,525 million in fiscal 2026. Cost of revenue was $9,270 million, giving a gross profit of $32,255 million and a gross margin of 77.7%.

Research and development expense was $5,993 million, sales and marketing expense was $14,931 million and general and administrative expense was $3,000 million. Total operating expenses were $23,924 million.

Operating income was $8,331 million. Other income, net, contributed $1,189 million, and the effective tax rate was 21.7%. Net income was $7,457 million.

Key ratios

Ratio	FY2026	FY2025	FY2024
Gross margin (%)	77.7%	77.2%	75.5%
Operating margin (%)	20.1%	19.0%	14.4%
Net margin (%)	18.0%	16.4%	11.9%
Effective tax rate (%)	21.7%	16.7%	16.4%

Revenue by region

Revenue by region is presented in the companion spreadsheet for this fiscal year. The Americas remains the largest region by revenue.

Consolidated statements of operations

In millions, except per-share amounts

	FY2026	FY2025	FY2024
Total net revenue	41,525	37,895	34,857
Cost of revenue	9,270	8,643	8,541
Gross profit	**32,255**	**29,252**	**26,316**
Research and development	5,993	5,493	4,906
Sales and marketing	14,931	13,718	13,865
General and administrative	3,000	2,836	2,534
Total operating expenses	**23,924**	**22,047**	**21,305**
Operating income	**8,331**	**7,205**	**5,011**
Other income (expense), net	1,189	233	(61)
Income before income taxes	**9,520**	**7,438**	**4,950**
Provision for income taxes	2,063	1,241	814
Net income	**7,457**	**6,197**	**4,136**

USD per share and shares in millions	**FY2026**	**FY2025**	**FY2024**
Earnings per share, basic	7.85	6.44	4.25
Earnings per share, diluted	7.80	6.36	4.20
Weighted-average shares, diluted	956.0	974.0	984.0

Consolidated balance sheets

In millions

Assets	January 31, 2026	January 31, 2025
Cash and cash equivalents	7,327	8,848
Accounts receivable, net	14,339	11,945
Prepaid expenses and other current assets	6,556	8,934
Total current assets	**28,222**	**29,727**
Goodwill	57,941	51,283
Intangible assets, net	6,815	4,428
Property, plant and equipment and other non-current assets	19,327	17,490
Total assets	**112,305**	**102,928**

Liabilities and shareholders' equity	January 31, 2026	January 31, 2025
Deferred revenue, current	24,317	20,743
Accounts payable and accrued liabilities	12,801	7,237
Total current liabilities	**37,118**	**27,980**
Long-term debt	10,439	8,433
Other non-current liabilities	5,606	5,342
Total liabilities	**53,163**	**41,755**
Common stock and additional paid-in capital	68,835	64,576
Retained earnings (accumulated deficit)	22,221	16,369
Accumulated other comprehensive income (loss)	313	(266)
Treasury stock	(32,227)	(19,506)
Total shareholders' equity	**59,142**	**61,173**
Total liabilities and shareholders' equity	**112,305**	**102,928**

Consolidated statements of cash flows

In millions

	FY2026	FY2025	FY2024
Net income	**7,457**	**6,197**	**4,136**
Depreciation and amortization	1,200	1,000	1,100
Share-based compensation	3,509	3,183	2,787
Changes in working capital and other operating items	2,830	2,712	2,211
Net cash provided by operating activities	**14,996**	**13,092**	**10,234**
Purchases of property, plant and equipment	594	658	736
Net cash provided by (used in) investing activities	**(8,590)**	**(3,163)**	**(1,327)**
Net cash used in financing activities	**(8,079)**	**(9,429)**	**(7,477)**
Effect of exchange rate changes on cash	152	(124)	26
Net increase (decrease) in cash	**(1,521)**	**376**	**1,456**
Cash and cash equivalents, beginning of period	8,848	8,472	7,016
Cash and cash equivalents, end of period	7,327	8,848	8,472

Notes to the consolidated financial statements

1. Basis of presentation

The consolidated financial statements have been prepared in accordance with accounting principles generally accepted in the United States. The fiscal year ended on January 31, 2026.

2. Income taxes

The provision for income taxes was $2,063 million on income before income taxes of $9,520 million.

3. Liquidity

At January 31, 2026 the company held $7,327 million of cash and cash equivalents. Net cash provided by operating activities was $14,996 million.

Controls and signatures

Management concluded that internal control over financial reporting was effective as of January 31, 2026. The consolidated financial statements were audited by an independent registered public accounting firm.

Signature	Title	Date
/s/ Authorised Signatory	Chief Executive Officer	March 6, 2026
/s/ Authorised Signatory	Chief Financial Officer	March 6, 2026